



K. PAMILA (right) of Dharavi in Mumbai saves up to Rs 60 every week through her biometric card-operated savings account with the Union Bank of India

MANDAR DEODHAR

can ever be complete without offering savings instruments, regulations currently do not allow MFIs to offer savings products. So they are hawking only liabilities to the urban poor. Says S.S. Suresh, chief operating officer of GrameenKoota: "We are struggling to cater to the savings needs of these consumers. Recently, the Reserve Bank of India issued a circular, which allows non-governmental organisations (NGOs) to become business correspondents for banks, by which they can facilitate the opening of bank accounts of poor people." However, since most micro-finance organisations, like SKS, GrameenKoota and Swadhaar, have registered themselves as NBFCs in order to meet higher capital needs, none of them are eligible.

Therefore, if any of the existing MFIs

have to become business correspondents of banks and offer savings accounts, they cannot do it under the MFI tag and have to float a new not-for-profit entity. While players like Swadhaar have an NBFC for the loan business and an NGO to offer savings bank accounts, many others find sustaining two entities economically unviable. Explains Ghosh: "Micro-finance can be offered at lower interest rates if the cost of funds can be brought down. Currently, MFIs like ours are dependent on funds from banks as they are mandated to lend 40 per cent to the priority sector. However, if for some regulatory reason this source of funds dries up, we will be in trouble. In order to complete the business cycle, it's important that we are able to mobilise deposits too which will also bring down interest

rates for our loan products."

Notwithstanding the pressure, the central bank is playing it safe and going slow in allowing urban MFIs from collecting deposits. With the Micro Financial Sector (Development and Regulation) Bill, 2007 having been tabled in Parliament last year, the Rangarajan Committee on financial inclusion feels that MFIs registered under Section 25 of Companies Act, 1956 can be brought under the purview of this Bill while cooperative societies can be taken out. Given the vulnerability of the section, regulations need to be put in place for their protection. However, there is little doubt that the Next Billion is an idea whose time has come because it's no longer about obligation but an opportunity that is knocking on the doors of the financial sector. ■

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